India, there should be nothing more to discuss with the Chinese. Again, seemingly without much internal consultation, on 18 June 1952, Nehru concurred with Panikkar's line of thought on the boundary question, and also consented to Zhou's proposal for conversion of the Mission in Lhasa into a Consulate General without apparently realizing either its legal or its political implications.

After receiving India's written confirmation on the matter, the Chinese also quickly informed India that they had established an Assistant for Foreign Affairs in Lhasa (this had been Zhou's instruction to Zhang Jingwu), and that, henceforth, the new Indian Consulate General should deal with Tibet only through this new office. In accepting Zhou's proposals, India had agreed to three things. First, by accepting the principle that the earlier treaties were unequal, India had acquiesced in undermining the legal basis for all its privileges in Tibet as well as the Simla Agreement of 1914. Second, by converting the Lhasa Mission into a Consulate General and giving a reciprocal facility to China in Bombay, it had changed the status of its relationship with the Tibetan government from a political relationship to a consular one. By inference, this also meant that India had accepted that Tibet was a part of the People's Republic of China. And third, by agreeing to contact Tibetan authorities only through Chinese intermediaries in Lhasa, India had surrendered its right to have direct dealings with the Tibetan administration. This showed the methodical and practical nature of China's negotiating strategy and tactics; China had done serious research on the treaties and other materials in possession of the Tibetan government about Indian interests in Tibet, and devised a negotiating plan.

The Government of India, on the other hand, went about the negotiations in an ad hoc fashion and without adequate internal consultation, leave alone proper research on facts.